

Case Study: Can Arnold Do That?

(Adapted from National Association of REALTORS® Case #10-4: Use of "Choose Your Neighbor" Marketing Letters. Names have been created to make the parties easier to identify.)

REALTOR® Arnold listed a property in a new subdivision. At the instruction of his seller client, Sebastian, Arnold did not file listing information with his board's MLS, place a for sale sign on the property, or advertise the property in the local newspaper. Sebastian had told Arnold that he wanted the sale handled quietly, with the new purchasers being people who would "fit into the neighborhood-people with the same socioeconomic background" as the other residents of the subdivision.

Based on his conversation with Sebastian, Arnold's only marketing effort was mailing a letter to the other residents of the subdivision, inviting them "... to play a part in the decision of who your next neighbor will be. If you know of someone who you would like to have live in the neighborhood, please let them know of the availability of this home, or call me and I will be happy to contact them and arrange a private showing."

Arnold's marketing strategy came to the attention of REALTOR® Brian, whose mother lived in the subdivision. Brian filed a complaint, charging Arnold with a violation of Article 10 of the Code of Ethics.

At the hearing, Brian told the hearing panel of receiving a copy of the marketing letter from his mother, who had recently moved to the subdivision. Brian advised the panel that he had checked the board's MLS for information on the property, had driven past the house to look for a for sale sign, and had scanned the Sunday real estate section of the local newspaper for information on the property. Finding no mention of the property in either the MLS or the newspaper and noting the absence of a sign on the property, Brian concluded that Arnold's marketing strategy was to limit access to the property to individuals pre-selected by the current residents.

Arnold defended his actions by advising the panel that he was acting on his seller's instructions. Sebastian appeared as a witness for Arnold and confirmed this fact, adding that he and the other residents of his block had an informal agreement that they would try to find "suitable" purchasers for their homes if they ever decided to sell. Sebastian felt that by broadening the marketing campaign to include all residents of the subdivision, he had increased the chances of finding such potential purchasers.